



RAJU WITH PRESIDENT BILL CLINTON DURING HIS VISIT TO HYDERABAD; (RIGHT) BJP LEADER L.K. ADVANI PRESENTING HIS AUTOBIOGRAPHY TO RAJU



A PRABHAKARRAO

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NINE COMMANDMENTS

ICAI chief Ved Jain says had the auditors run through this check list, the scam would not have happened

- If the company claims it has cash on its hand, that should be enough signal for auditors to check whether the cash in hand is available or not.
- Bank balance has been invested properly or not—where all it has been invested—MFs, etc.
- Whether the internal control mechanisms are in place.
- Scrutinise if the company has huge creditors and huge balance at the same time.
- Look into why the company is not taking benefit and negotiating the price.
- Are the profit margins abnormal compared to industry norms?
- Check if there has been a quantum jump in wealth.
- Carry out an overall ratio analysis of figures in the organisation, previous years, similar industry.
- Physical verification of assets owned by the company.

financials. Transactions are routed through subsidiary and holding companies since accounts are consolidated and boards assume all is fine. In fact, in 2003 RPI MP Ramdas Athawale had raised the issue of insider trading and a tax fraud through “multiple benami accounts” opened by the Raju family and asked SEBI to inquire into it but the matter was hushed up. Externally too the landscape is littered with opportunity. Satyam Computers was the holding company but business was conducted through wholly-owned subsidiaries. Operations in 66 countries and 65 different bank accounts allowed Raju to not just fudge his books but also to move his funds as he wished through tax havens.

Those investigating the Satyam scam, for instance, have found a money trail leading to a Mauritius-based firm, Lakeview Investments. The suspicion is funds were transferred from Satyam into a bank account of the Mauritius firm. Two land deals of the Raju family, allegedly done by pledging promoter shares in Satyam through SRSR Holdings, also led to a numbered account. As with software, the infrastructure sector too is littered with tax breaks. For

the knowledgeable, the system offers unique opportunities for laundering and deploying slush money. Historically, export units have been used to both take money out and bring it in. The tax break makes this hawala operation cost efficient. Slush money managers can now also use a combination of exports and the capital market to manage moolah. A promoter who is rigging shares can offer pre-determined return to those with money abroad by first taking it out using the export expenses route, deploy it in the stock market through P-Notes offered by FIs and repatriate back into India via export houses.

The landscape, it would seem, is littered with opportunities for scams. Raju exploited it like other scamsters emboldened by the fact that the law takes too long to take its course in India and is amenable to manipulation. The only difference is the magnitude and Raju's ingenuity which made it sustainable so long. It is not clear if the motive was a larger than life ambition or the desire to create a legacy for his sons. Perhaps it was both. More likely it was plain old greed.

with Nivedita Mukherjee and Nandini Vaish